

# ZEBRA TECHNOLOGIES FIRST QUARTER 2016 RESULTS

May 10, 2016





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# First Quarter 2016 Highlights

- Adjusted sales of \$850M, down 3% in constant currency
  - Continued impact from economic uncertainty
  - Purchasing decisions pushed to future quarters
  - Channel softness led to distributor destocking
  - Difficult comparison to a strong 1Q 2015
- Lower sales in North America
- Slight sales growth in EMEA and continued weakness in Latin America
- Strong sales results in Asia-Pacific led by China
- Non-GAAP EPS of \$1.01
  - Impacted by lower sales volume and adverse FX
  - Gross margin flat, and operating expenses in-line with expectations
- Proactive response to challenging environment
  - Targeted programs to invigorate channel business
  - Launch of new channel partner program





# First Quarter P&L Summary

| \$ in millions, except per share data    | 1Q 2016       | 1Q 2015       | Change                      |
|------------------------------------------|---------------|---------------|-----------------------------|
| <b>Adjusted Net Sales <sup>(1)</sup></b> | <b>\$850</b>  | <b>\$899</b>  | <b>(3.2)%<sup>(2)</sup></b> |
| Adj. Gross Margin (%) <sup>(1)</sup>     | 46.2%         | 46.2%         | Flat                        |
| <b>Adj. EBITDA</b>                       | <b>\$132</b>  | <b>\$152</b>  | <b>(13.2)%</b>              |
| Adj. EBITDA Margin (%)                   | 15.5%         | 16.9%         | (1.4) pts.                  |
| <b>Adjusted EPS</b>                      | <b>\$1.01</b> | <b>\$1.41</b> | <b>(28.4)%</b>              |

- **Q1 sales down 3% YoY<sup>(2)</sup>**

- Enterprise sales down 4%<sup>(2)</sup>
- Legacy Zebra sales down 3%<sup>(2)</sup>

- **Regional breakdown**

- North America down 7%
- EMEA up 1%<sup>(2)</sup>
- Asia Pacific up 10%<sup>(2)</sup>
- Latin America down 15%

- **Adj. EBITDA margin decline**

- Flow-through impact of lower sales
- Neg. FX impact of ~100 bps

1. Excludes purchase accounting adjustments

2. Assumes constant FX to 2015

# Balance Sheet and Cash Flow

## Liquidity

- \$194 in cash as of 1Q16, with \$143M outside the U.S.
- Anticipate additional tax efficient repatriation of excess foreign cash
- Untapped \$250M revolver; no financial covenant unless >\$50M draw down
- Reducing required minimum operating cash on hand to ~\$150M

## Long-Term Debt

- \$2.9B in long-term debt; financed the Oct. 2014 Enterprise acquisition
  - \$1.0B of senior notes due in 2022, and a \$1.9B term loan due 2021
- \$80M of principal payments in 1Q16
- Net-debt-to-adjusted-EBITDA ratio of ~ 4.8x as of 1Q16

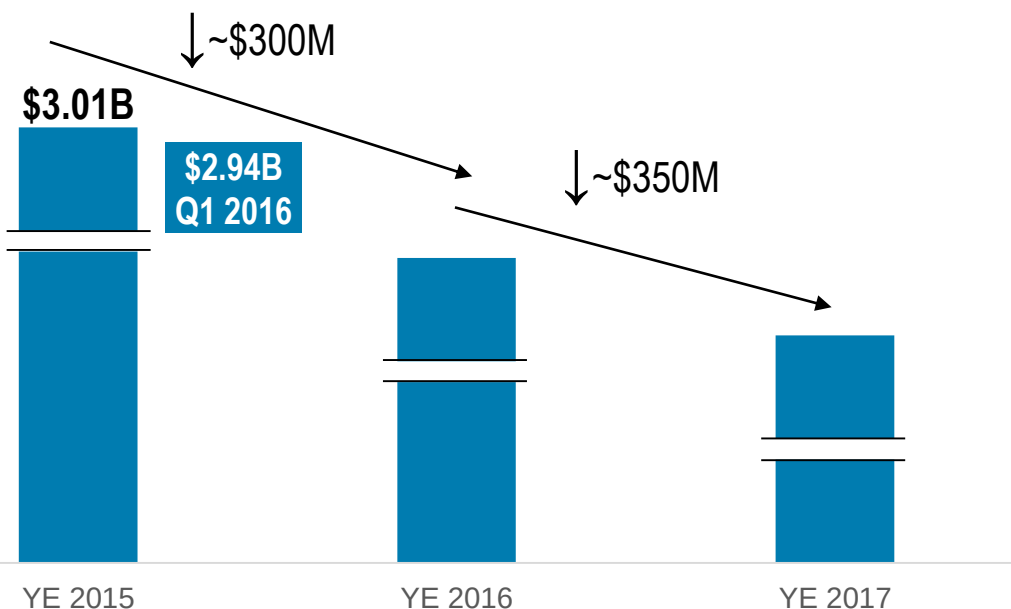
## Cash Flow

- FY 2016 cash flow improvement expected to be driven by:
  - EBITDA growth
  - Significant working capital opportunity
  - \$90-100M less integration costs
  - ~\$30M lower non-integration-related capital expenditures

# Debt Reduction is Top Priority for Free Cash Flow

Financed October 2014 Enterprise acquisition with \$3.25B of debt

Total debt



Cash and cash equivalents

\$192M      Repatriate ~\$50M  
Int'l Cash

Net debt to Adjusted EBITDA

4.7x

Target <3x

# 2016 Outlook

## FY 2016 Guidance

- Net sales (3)% to +1% vs. FY 2015, representing (2) to +2% growth in constant currency
- Adjusted EBITDA margin of ~17%, improvement over FY 2015

## Q2 2016 Guidance

- Net sales (3)% to 0% vs. Q2 2015, representing (2)% to +1% in constant currency
- Adj. EBITDA margin of 15% to 16%
- Adj. EPS of \$1.00-\$1.20

## FY 2016 Assumptions

- Capital expenditures of ~\$70 to 75M
  - \$15 to 20M related to integration
- Depreciation & amortization of ~\$310 to 315M
- Interest expense of \$195 to 200M
  - Amort. of debt issuance costs of \$18 to 20M
- Stock-based compensation expense of ~\$27 to 29M
- Non-GAAP tax rate of 22% to 24%
- Cash taxes of \$50 to 60M
- Hedged ~80% of net Euro cash flow exposure at \$1.09 exchange rate
- \$50M incremental synergy realization
- \$130-150M one-time integration costs in 2016 – 2017



# Focused on Strategic Priorities in 2016

## Deliver Profitable Growth

- Our technology is vital as customers pursue their strategic goals
- Leverage expertise and expand vertical presence
- Continued focus on innovation and new product introductions
- Improved performance in the services business

## Realize Cost Synergies

- Realize \$50M of incremental cost synergies in 2016
- Improved EBITDA margin
- Prudently manage cost structure

## De-lever the Balance Sheet

- Improved free cash flow to pay down debt
- Debt reduction of \$300M in 2016 and \$350M in 2017
- Progress on goal of net-debt / adj. EBITDA ratio of < 3x by the end of 2017

## Operate as One Zebra

- Build on global brand strength
- Continued planning and execution of IT integration
- New channel partner program

# Excellent Progress Integrating Oct 2014 Enterprise Acquisition

Exiting remaining transition service agreements (TSAs) with MSI by October 2017

Board Level IT Committee Oversight  
Business Transformation Office (BTO)  
3<sup>rd</sup> Party Management Consulting Advisory

## Implementation complete:

- ✓ Customer relationship management (CRM)
- ✓ IT data center migration
- ✓ New channel partner program
- ✓ Single sales compensation process and tools
- ✓ Engineering tools rationalized
- ✓ Zebra.com redesign

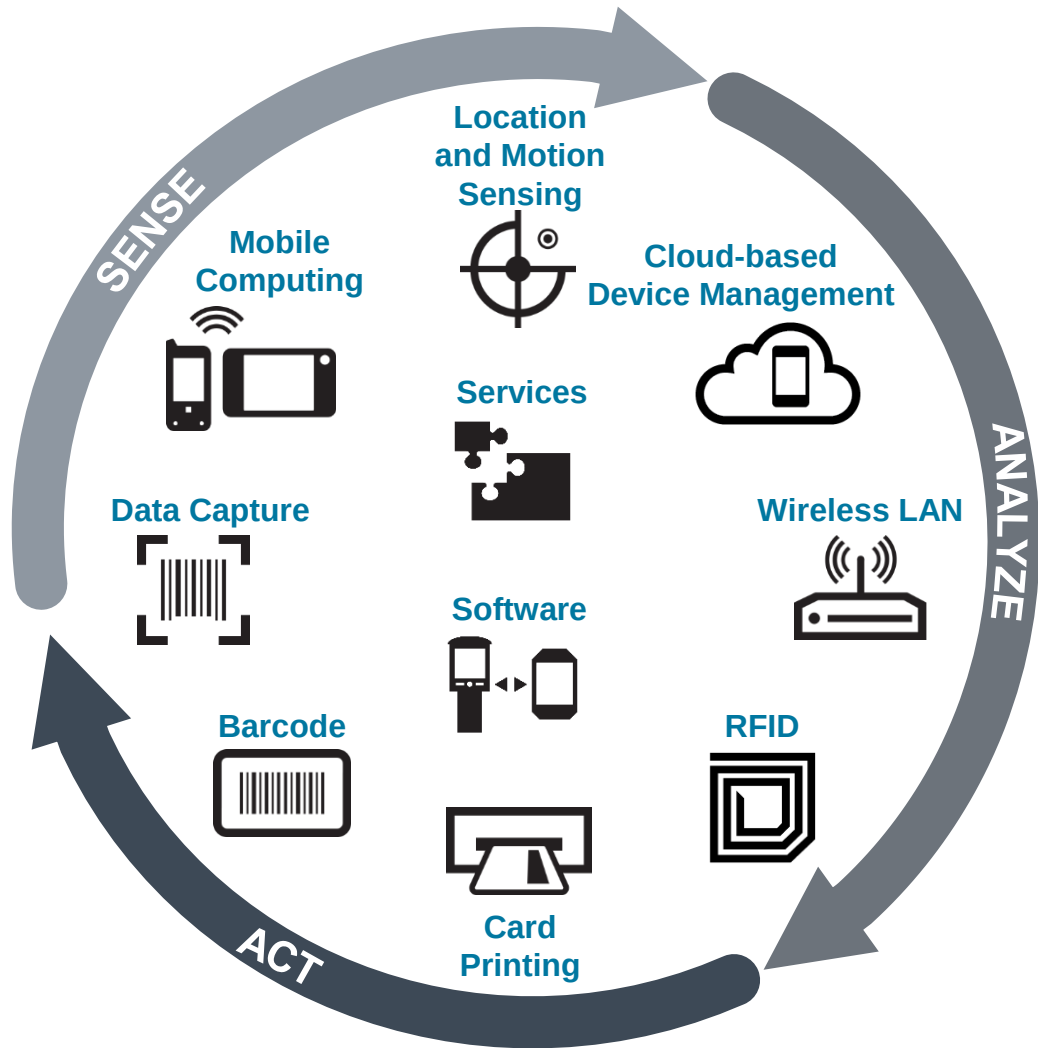
## In progress:

- Enterprise Resource Planning (ERP) integration, inclusive of distribution- and services-related business applications
  - APAC region (2Q16)
  - Rest of world (through mid 2017)
- IT Infrastructure: changes related to site moves, platform scalability and ecosystem modernization
- Services, repair, and parts planning
- Digital & self-service web portal

Note: selected key activities only, not a comprehensive listing

# Zebra: Global Leader of Enterprise Asset Intelligence

Providing the smart, visionary solutions to see the big picture



Zebra's innovative solutions **makes businesses smarter and more connected**, enabling real-time:

- Visibility into people and things;
- Analysis of operational data; and,
- Critical insights and knowledge to act on.

***“Visibility That’s Visionary”***

# Long-Term Outlook

## Positioned for Success

### Our financial goals:

#### **SALES GROWTH**

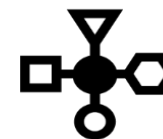
at least 4 – 5% over a cycle

#### **ADJUSTED EBITDA <sup>(1)</sup>**

margin expansion to 18 – 20% by the end of 2017

#### **NET-DEBT-TO-ADJUSTED EBITDA**

< 3x by the end of 2017



**INTERNET  
OF THINGS**



**CLOUD**



**MOBILITY**

1) Assumes no material change to the recent global currency exchange rate environment.



**ZEBRA**

**QUESTIONS?**



**ZEBRA**

# APPENDIX



# Reconciliation of GAAP to Non-GAAP Net Income

(Amounts in millions, except share data)

|                                                            | Three Months Ended |                  |
|------------------------------------------------------------|--------------------|------------------|
|                                                            | April 2,<br>2016   | April 4,<br>2015 |
| Net loss                                                   | \$ (29)            | \$ (25)          |
| Income tax benefit                                         | (20)               | (33)             |
| Share-based compensation                                   | 9                  | 9                |
| Acquisition and integration costs                          | 37                 | 26               |
| Exit and restructuring costs                               | 6                  | 11               |
| Purchase accounting adjustments                            | 3                  | 6                |
| Foreign exchange loss (gain)                               | (1)                | 27               |
| Amortization of intangible assets                          | 59                 | 68               |
| Amortization of debt issuance cost and discount            | 5                  | 5                |
| Forward interest rate swaps gain                           | (1)                | (2)              |
| Tax effects                                                | (15)               | (20)             |
| Total adjustments                                          | \$ 82              | \$ 97            |
| Non-GAAP net income                                        | \$ 53              | \$ 72            |
| GAAP (loss) earnings per share                             |                    |                  |
| Basic                                                      | \$ (0.56)          | \$ (0.50)        |
| Diluted                                                    | \$ (0.56)          | \$ (0.50)        |
| Non-GAAP earnings per share                                |                    |                  |
| Basic                                                      | \$ 1.03            | \$ 1.43          |
| Diluted                                                    | \$ 1.01            | \$ 1.41          |
| Basic weighted average shares outstanding                  | 51,299,632         | 50,666,970       |
| Diluted weighted average and equivalent shares outstanding | 52,045,345         | 51,212,713       |

# GAAP to Non-GAAP Reconciliation

(Amounts in millions)

## EBITDA Reconciliation

|                                     | Three Months Ended   |                      |
|-------------------------------------|----------------------|----------------------|
|                                     | April 2,<br>2016     | April 4,<br>2015     |
| Operating (loss) income             | \$ 0                 | \$ 20                |
| Depreciation                        | 18                   | 12                   |
| Amortization of intangible assets   | 59                   | 68                   |
| EBITDA                              | <u>\$ 77</u>         | <u>\$ 100</u>        |
| Acquisition and integration costs   | 37                   | 26                   |
| Purchase accounting adjustments     | 3                    | 6                    |
| Exit and restructuring costs        | 6                    | 11                   |
| Share-based compensation            | 9                    | 9                    |
| Adjusted EBITDA                     | <u><u>\$ 132</u></u> | <u><u>\$ 152</u></u> |
| Adjusted EBITDA % of Adjusted Sales | <u><u>15.5%</u></u>  | <u><u>16.9%</u></u>  |

# GAAP to Non-GAAP Reconciliation

(Amounts in millions)

## ADJUSTED NET SALES DECLINE

**Three Months Ended  
April 2, 2016**

|                                                  |         |
|--------------------------------------------------|---------|
| Reported net sales decline                       | (5.2) % |
| Purchase accounting adjustments <sup>(1)</sup>   | (0.3) % |
| Exclusion of foreign currency translation impact | 2.3 %   |
| Adjusted net sales decline in constant currency  | (3.2) % |

## ADJUSTED NET SALES BY SEGMENT

|                                                | <b>Three Months Ended</b> |                          | <b>Percent<br/>Change</b> |
|------------------------------------------------|---------------------------|--------------------------|---------------------------|
|                                                | <b>April 2,<br/>2016</b>  | <b>April 4,<br/>2015</b> |                           |
| Legacy Zebra                                   | \$ 313                    | \$ 332                   | -5.7                      |
| Enterprise                                     | 537                       | 567                      | -5.3                      |
| Adjusted net sales                             | \$ 850                    | \$ 899                   | -5.5                      |
| Purchase accounting adjustments <sup>(1)</sup> | (3)                       | (6)                      |                           |
| Reported net sales                             | \$ 847                    | \$ 893                   | -5.2                      |

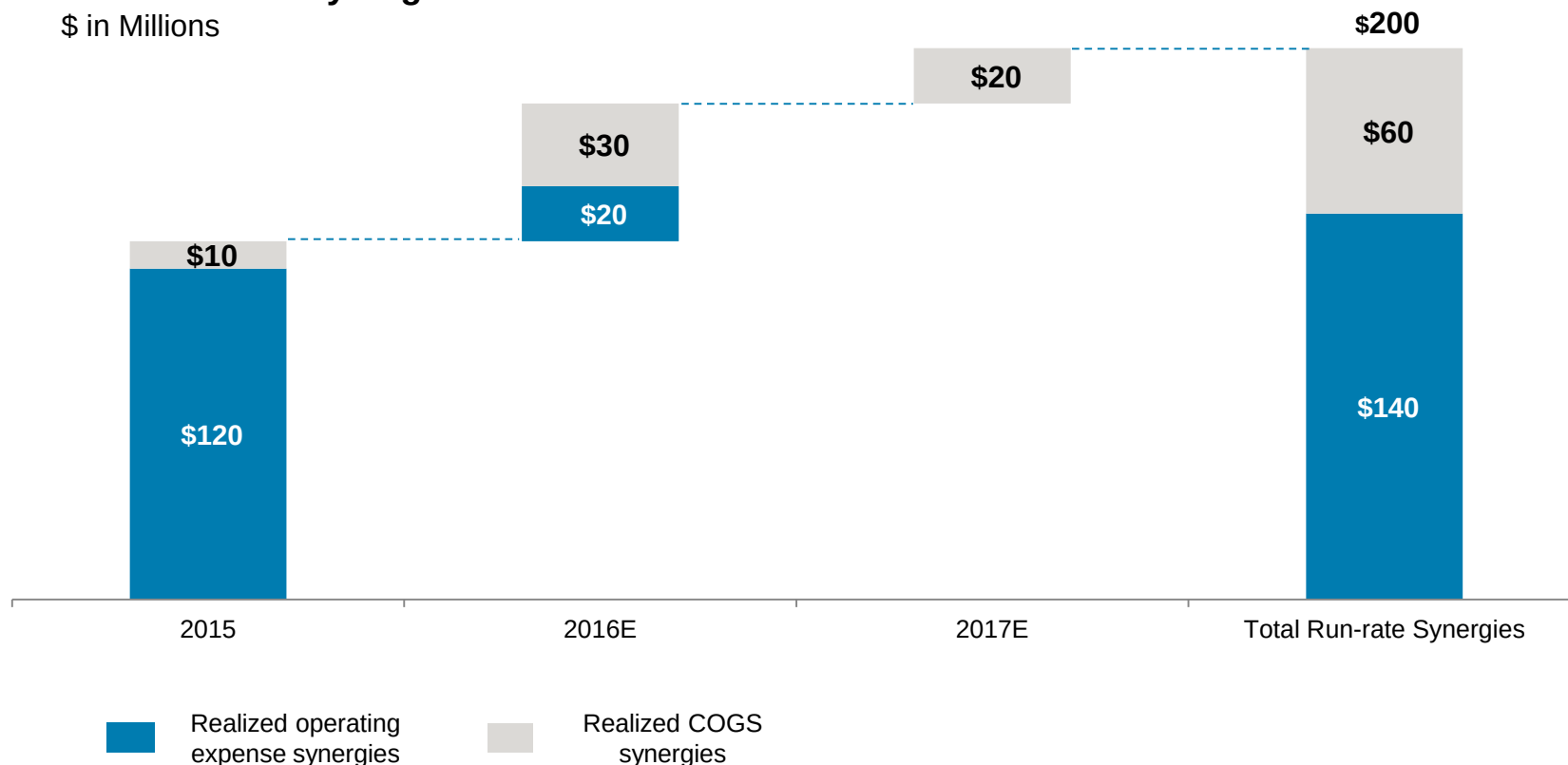
(1) Purchase accounting adjustments only impact the Enterprise segment.

# Progress on \$200M Cost Synergy Program<sup>(1)</sup>

Expect \$50M of incremental cost synergy realization in 2016

## Realized Cost Synergies

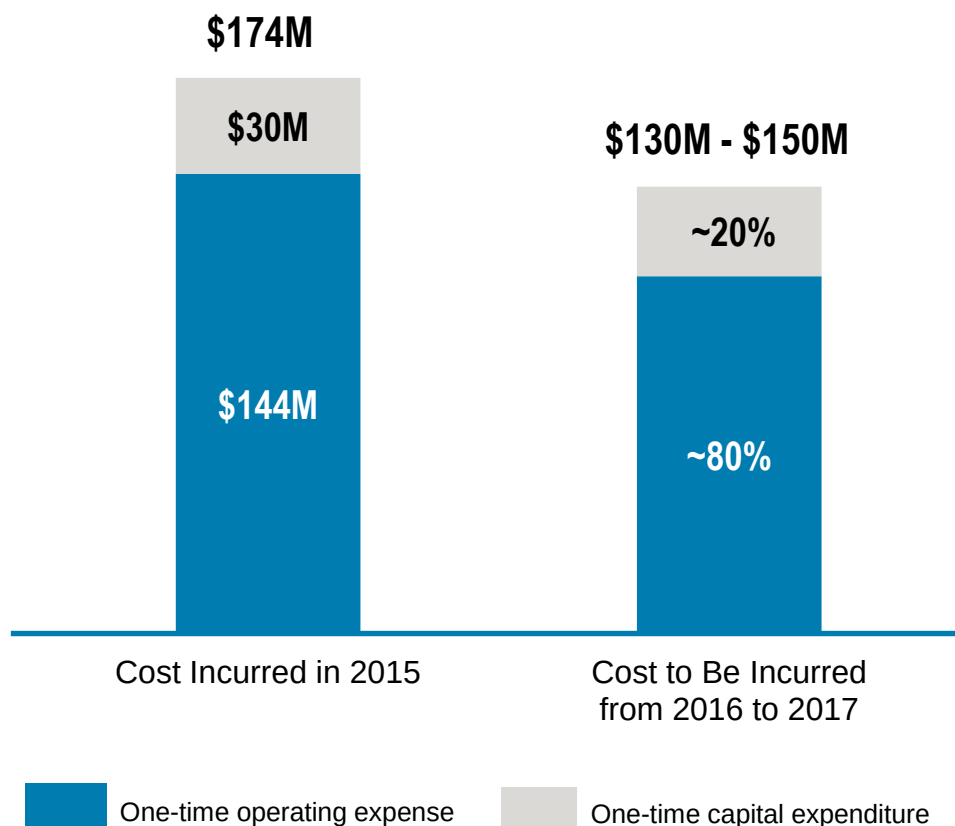
\$ in Millions



1) \$200M cost synergy program excludes potential long-term benefits of IT integration completion.

# Cost Investments to Fund Integration

**\$130M-\$150M remaining one-time integration costs to incur in 2016 - 2017**



## Areas of focus include:

- IT integration including ERP
- Business applications supporting engineering, services, distribution, and channel program
- Vast majority of spend to be completed in 2016

## Benefits include:

- Exit TSAs related to the acquisition
- Rationalized and modern IT platform and ecosystem for the merged company
- Enable operational agility and continuous improvement
- Scalable infrastructure
- Increased cost efficiency, including reduced ongoing capex requirements